CSIS JAPAN CHAIR

Japan Daily Brief

Thursday, November 12, 2026

1,879 words · 8 min read

RE: Yen near ¥160, intervention warnings · Host-nation support hike under US pressure · Security docs add denial capabilities · BOJ dove pushes back · APEC Takaichi-Xi summit remains unlikely

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
60,819.36	159.64	$92.31	1.25%
▲ +5.89%	▲ +1.36%	▼ -0.28%	

TOP STORIES

ALLIANCE

Japan considers raising host-nation support above ¥300 billion annually amid US pressure

Japan is studying an increase in its annual host-nation support contribution to above *¥300 billion* — well above the current ~¥211 billion Special Measures Agreement level — with the Trump administration pressing for a larger share of USFJ stationing costs. A separate Asahi report describes negotiations as difficult, with Japan straining to respond to US demands.

ASAHI

DEFENSE

Japan to feature denial capabilities in security documents

Japan's revised National Security Strategy and companion documents, currently under a 2026 review, are expected to formally incorporate denial capabilities alongside existing counterstrike provisions, per Japan Times. The revised documents will also address 'new ways of warfare' involving artificial intelligence and drones.

THE JAPAN TIMES

ECONOMY-BOJ

Japan top currency diplomat says yen's recent fall 'too rapid'

Japan's top currency diplomat **Atsushi Mimura** said Thursday the yen's recent decline has been 'too rapid,' in an explicit warning to currency markets as USD/JPY approached *¥159.64*, near the ¥160 level that preceded this year's summer foreign-exchange intervention. Bloomberg separately reported Mimura reminded markets not to forget that summer intervention.

MAINICHI

ECONOMY-BOJ

Dovish BOJ policymaker Asada pushes back against early rate hike calls

BOJ Policy Board member Toichiro Asada, speaking in Nagasaki Thursday, cautioned against rushing rate hikes and cited downside economic risks, reinforcing the dovish minority on the board. Japan Times separately

reported that one rate increase every three months remains the market consensus forecast despite recent AI-sector share declines.

REUTERS

ECONOMY-BOJ

Japan wholesale inflation accelerates, keeps alive rate hike view

Japan's Corporate Goods Price Index rose *0.7% month on month* in October, the fastest pace since May, per Reuters and the BOJ's own release. The acceleration in wholesale inflation, driven partly by higher oil costs, keeps the case for another BOJ rate hike in the near term.

REUTERS

TECHNOLOGY

Cyberattacks hit a third of Japan firms or their service providers this year

Reuters reported that cyberattacks struck approximately *one-third* of Japanese companies or their service providers in 2026, the latest data point in a sustained surge in cyber incidents targeting Japan's private sector. The finding comes as Japan's government has been rolling out an emergency cybersecurity package.

REUTERS

STAT OF THE DAY

¥300B+

Proposed new annual host-nation support contribution under US pressure

Japan is considering raising its annual host-nation support contribution above ¥300 billion — up from the current ~¥211 billion Special Measures Agreement level — amid Trump administration pressure, per Asahi.

在日米軍駐留経費の日本負担、3千億円超へ増額検討　米の圧力背景に (Asahi)

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · THURSDAY, NOVEMBER 12, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi issued formal avian influenza emergency instructions to relevant ministries at 13:40 on November 11; the Kantei published the instruction on the same date.

外務省 · MINISTRY OF FOREIGN AFFAIRS (MOFA) · *Foreign Minister Toshimitsu Motegi*

MOFA calls Russia's seizure of Japan Tobacco assets 'unusual,' demands reversal

Foreign Minister **Toshimitsu Motegi** on Thursday described Russia's move to place Japan Tobacco International assets under domestic temporary administration as 'unusual,' per Kyodo via Mainichi. Japan has formally demanded reversal of the seizure.

→ Mainichi ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS (MOFA)

Japan-UK Space Consultation holds inaugural meeting

MOFA announced the first meeting of the Japan-UK Space Consultation, deepening bilateral cooperation on space governance and technology.

→ MOFA ↗

日本銀行 · BANK OF JAPAN · *BOJ Policy Board member Toichiro Asada*

BOJ Policy Board member Asada warns of downside risks from rate hikes, pushes back against early tightening

BOJ Policy Board member **Toichiro Asada**, speaking in Nagasaki, warned of downside risks to the economy from raising interest rates and pushed back against calls for an early rate hike, reinforcing his dovish stance within the board. Separately, the BOJ's Corporate Goods Price Index for October accelerated, with prices rising *0.7% month on month*, the fastest pace since May.

→ Mainichi ↗

DIET SESSIONS / LDP

HOUSE OF COUNCILLORS

Upper House begins deliberation on food sales tax cut bill; opposition presses PM on details

The House of Councillors opened debate on the food sales tax cut bill, with opposition parties pressing Prime Minister Takaichi for specifics. PM Takaichi stated the measure is intended to support low- and middle-income earners.

HOUSE OF REPRESENTATIVES

LDP, JIP, and DPP submit bill to cut 31 Lower House seats, drawing opposition from smaller parties

Japan's ruling coalition (LDP) and opposition parties JIP and DPP submitted a bill to parliament to cut *31 seats* in the House of Representatives. Smaller opposition parties warn the reform will strengthen single-member districts and reduce their representation.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
NHK · Nov 11, 2026	**53%**	**32.1%**
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026 **· 24d ago**	**47.1%**	**33.3%**
Asahi · Oct 19, 2026 **· 24d ago**	**50%**	**35%**
Kyodo · Oct 19, 2026 **· 24d ago**	**49.1%**	**33%**
FNN · Oct 19, 2026 **· 24d ago**	**62.6%**	**32.3%**

Yomiuri · Oct 19, 2026 · **24d ago**	**57%**	**30%**

Discourse: Mainichi editorial marks PM Takaichi's one year in office by arguing her 'go-it-alone style is widening Japan's divisions'; LDP policy chief declined Thursday to discuss the 2027 leadership race, while one Takaichi rival publicly backed the PM.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

FINANCE · THE JAPAN TIMES

Yen approaches ¥160, raising intervention risk as US inflation data widens rate differential

USD/JPY traded near *¥159.64* Thursday after US inflation data raised expectations of continued Federal Reserve tightening. Japan's FX chief Atsushi Mimura warned the fall was 'too rapid,' signaling readiness to act.

MANUFACTURING · METI / SHATTERED.IO

Japan bets *$2.55 billion* on solid-state battery development

Japan's government has committed *$2.55 billion* to solid-state battery development as part of its strategic push to maintain leadership in next-generation EV battery technology. The investment targets both research and commercialization infrastructure.

TECH · NIKKEI ASIA · IHI CORPORATION

IHI Corporation plans mass production of dual-use satellites in Japan

Japanese industrial conglomerate **IHI Corporation** plans to mass-produce dual-use satellites domestically, targeting both commercial and defense applications as Japan accelerates investment in space-based capabilities.

REGIONAL PRESSURE WATCH

Normal — 14 items

CHINA

China's Foreign Ministry spokesperson, via Global Times, asserted that accepting the verdicts of the Tokyo War Crimes Trials is 'a prerequisite for Japan's return to the international community after World War II' — a maximalist historical-grievance framing timed as APEC approaches and Beijing continues to withhold confirmation of a Takaichi-Xi bilateral. The Global Times item on the Tokyo Trials verdict follows a pattern of Beijing deploying WWII-era historical pressure in parallel with diplomatic stonewalling.

NORTH KOREA

G7 Foreign Ministers meeting in Paris issued a joint call for coordinated action against North Korea's nuclear and cyber threats, per Chosun Ilbo; the statement follows DPRK's claimed high-speed torpedo test reported earlier this week.

RUSSIA

Foreign Minister Motegi publicly labeled Russia's seizure of Japan Tobacco International assets 'unusual' and demanded reversal, per Kyodo via Mainichi — Japan's clearest diplomatic language yet on the JTI seizure. The Foreign Correspondents' Club of Korea separately voiced concern over Russia's detention of Hokkaido Shimbun journalist Yuki Imai, widening the press-freedom dimension of the bilateral deterioration.

Senkaku / ECS: No new Senkaku or East China Sea incident reported in today's Tier 1 or Tier 4 data; baseline CCG patrol activity carries forward.

> *“Accepting Tokyo Trials' verdicts, a prerequisite for Japan's return to the international community after World War II”*
>
> Chinese Foreign Ministry spokesperson (via Global Times) · Accepting Tokyo Trials' verdicts, a prerequisite for Japan's return to the international community after World War II: Chinese FM spokesperson - Global Times

Bottom line: Beijing is deploying a maximalist historical-grievance frame via Global Times — Tokyo War Trials language — in parallel with continued refusal to confirm a Takaichi-Xi bilateral at APEC; the combination suggests China is content to let Japan seek the meeting rather than reciprocate. Watch for any shift in Beijing's posture as APEC week begins.

U.S.-JAPAN RELATIONS

ALLIANCE · KYODO NEWS

Japan seeks Takaichi-Trump meeting next week ahead of APEC

Japan is seeking a bilateral meeting between Prime Minister Takaichi and President Trump next week, per Kyodo, as Tokyo works to manage alliance dynamics ahead of the APEC summit in the Philippines. The request underscores Tokyo's desire to signal alliance solidarity before a multilateral gathering at which a Takaichi-Xi encounter remains unlikely.

ALLIANCE · KOREA HERALD

Japan-based US fighter jets deployed to South Korea during joint drills

US fighter jets based in Japan were deployed to South Korea during joint military drills, per Korea Herald, demonstrating the operational integration of USFJ forces in peninsula contingency planning. The deployment reflects the ongoing trilateral US-Japan-ROK defense posture.

INDO-PACIFIC PARTNERS

QUAD · NIKKEI ASIA

Ukrainian defense tech firm cultivates Japan and Taiwan supply chain ties

A Ukrainian defense technology unicorn is developing supply chain links with Japan and Taiwan, per Nikkei Asia, linking the Ukraine conflict's defense-industrial lessons to Indo-Pacific partners' own buildup requirements.

INDIA · THE HINDU

Japan pursues second industrial cluster in Andhra Pradesh, India

Japan is seeking to establish a second industrial cluster in Andhra Pradesh, India, expanding its manufacturing and economic security footprint on the subcontinent.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

WAR ON THE ROCKS

Japan's Most Dangerous Military Constraint Is Time

> *Japan's defense buildup faces a structural time constraint — the gap between when threats materialize and when capabilities come online is Japan's most acute military vulnerability.*

The piece argues that Japan's defense spending surge and counterstrike procurement, while substantive, are hostage to long acquisition timelines that adversaries can exploit. It frames the tempo of China's military modernization and North Korea's

weapons development against Japan's ability to field credible deterrence before a potential crisis window opens. The article is directly relevant to the 2026 Three Strategic Documents review now underway.

SO WHAT The piece provides analytical backing for accelerating Japan's defense acquisition cycle — a live debate inside MOD as the revised security documents are being drafted.

LOWY INSTITUTE

When it comes to Japan, China finds it hard to think straight

> *China's policy toward Japan is driven by emotion and historical grievance as much as strategic calculation, producing inconsistent and sometimes counterproductive behavior.*

The Lowy Institute piece examines how China's political culture and historical memory distort Beijing's Japan policy, leading to episodes — such as the current APEC diplomatic standoff — where Chinese officials prioritize signaling over achieving durable outcomes. It contextualizes Beijing's refusal to confirm a Takaichi-Xi bilateral at APEC within a broader pattern of reactive and grievance-driven Japan policy. The analysis is relevant as Japan works behind the scenes to secure even a brief encounter with Xi.

SO WHAT Analysts assessing whether Beijing will ultimately agree to a Takaichi-Xi margin meeting at APEC should weight the domestic political pressures driving Chinese intransigence, not just the stated diplomatic objections.

UPCOMING

Nov 15 — **PM Takaichi seeks Trump bilateral meeting — target window next week**
Japan is seeking a Takaichi-Trump bilateral meeting next week, per Kyodo. No confirmed date; timing is linked to ASEAN and APEC summit travel to the Philippines.

Nov 15 — **PM Takaichi to attend ASEAN and APEC summits in the Philippines**
PM Takaichi has confirmed plans to attend the ASEAN-related summit and the APEC summit in the Philippines next week. A Takaichi-Xi bilateral at APEC remains unconfirmed, with multiple outlets reporting Beijing has not agreed to a formal meeting.

Nov 19 — **APEC leaders' summit, Lima or Philippines (verify host) — Takaichi-Xi encounter contingent on Beijing**
The APEC leaders' summit is the focal multilateral event of the coming week. A Takaichi-Xi bilateral remains unlikely per Kyodo and Mainichi reporting on continued Chinese reluctance amid tensions over PM Takaichi's Taiwan remarks.

Dec 8 — **Pearl Harbor anniversary**
1941. Alliance commentary clusters here.

Mar 31 — **Current US-Japan Host-Nation Support Special Measures Agreement expires**
The current SMA at ~¥211 billion/year expires March 31, 2027. Asahi reports Japan is now studying an increase above ¥300 billion annually under US pressure, making the renegotiation a live and contested process.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

Read online · Past issues

You are receiving the Japan Daily Brief as a member of the CSIS Japan Chair distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Deirdre Martin at dmartin@csis.org.

generated 7:06 AM ET

↑ BACK TO TOP

© 2026 Center for Strategic and International Studies